Adobe Inc (ADBE US)

Downgrade to Hold: Free knockoff creates headline risks

Equities
Software

United States

- We note media reports of vibe-coded clones of Adobe from ArtCraft
- Cutting our non-GAAP EPS estimates by 1-2% to reflect risks that some amateur retail users may migrate out of Adobe
- TP cut to USD267 (from USD310) on lower estimates and multiple. Downgrade to Hold (from Buy)

Free Adobe clone creates headline risks: We note media reports (for example: *The Economic Times*, 12 October 2026), that ArtCraft (apparently a firm of just a few people) has released what we believe to be an "auto-coded" free open source clone of Adobe's Creative Cloud suite, including versions of Photoshop, Illustrator, Premiere, Lightroom, Acrobat, After Effects, and InDesign. ArtCraft said it hopes to reach "100% feature parity" with Adobe's software within a month. We note that whereas professional 'vibe coding' is more of a human/model partnership where code is co-developed and the human reviews/knows/understands what is being written prior to committing, auto-coding is more giving full control to the model to inspect, create, and commit code unsupervised, with no/minimal human reviewing/knowing/or even understanding what is going on underneath the display screen.

Thus, we see many dangers attached to auto-coding projects from both a security, legal, going concern and maintenance perspective, and see this more impacting "freemium" and open source enthusiasts for the time being. We'd also point out that being open source, where AI can see the source code and come up with zero-day hacking exploits, it is a download we suggest avoiding. Moreover, given AI's recent emergent behavior to hide its nefarious acts, serving both its − and AI collectively − wider goals, not knowing what the code actually does, line-by-line, is not what we would consider business grade.

Nevertheless, the news creates headline risks for Adobe, in our view, and we are adjusting our price target to account for rerating potential, and for minimal operational impact. Thus, we are cutting our revenue estimates for Adobe by about 1% and lowering our valuation multiple.

Fairly valued: Adobe shares are trading at 9.0x CY27e non-GAAP PE vs the sector median of 20.7x. We think the discount is warranted as we have identified Adobe as a realistic candidate for AI-led disruption. We value Adobe using a PE-based methodology. We use a target PE of 10.5x (at a discount to 5-year average of 23x as we note heightened risks of AI disruption; was 12x) and our next-12-month non-GAAP EPS of USD25.47 (was USD25.80) to arrive at our target price of USD267.00 (was USD310.00). Our TP implies an upside of 10.2% and we downgrade to a Hold rating (from a Buy) as we are concerned about rising competition and the threat from AI to the business model. See page 6 for upside and downside risks.

DOWNGRADE TO HOLD

TARGET PRICE (USD)	PREVIOUS TARGET (USD)
267.00	**310.00**
SHARE PRICE (USD)	UPSIDE/DOWNSIDE
242.27	**+10.2%**

(as of 09 Oct 2026)

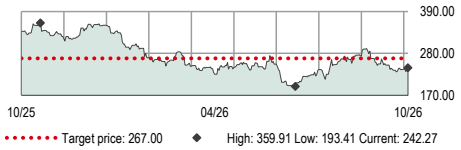
MARKET DATA

Market cap (USDm)	94,291	Free float	100%
Market cap (USDm)	94,291	BBG	ADBE US
3m ADTV (USDm)	1,270	RIC	ADBE.OQ

FINANCIALS AND RATIOS (USD)

Year to	11/2025a	11/2026e	11/2027e	11/2028e
HSBC EPS	20.94	24.44	27.00	29.94
HSBC EPS (prev)	20.94	24.51	27.44	30.43
Change (%)	0.0	-0.3	-1.6	-1.6
Consensus EPS	20.84	24.48	27.69	30.94
PE (x)	11.6	9.9	9.0	8.1
Dividend yield (%)	0.0	0.0	0.0	0.0
EV/EBITDA (x)	9.9	9.2	8.3	7.7
ROE (%)	69.5	82.1	77.9	74.1

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Securities (USA) Inc.

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Financials & valuation: Adobe Inc

Hold

Financial statements

Year to	11/2025a	11/2026e	11/2027e	11/2028e
Profit & loss summary (USDm)				
Revenue	23,769	26,651	28,517	30,513
EBITDA	9,525	10,193	10,872	11,403
Depreciation & amortisation	-818	-772	-670	-528
Operating profit/EBIT	8,707	9,420	10,201	10,875
Net interest	-263	-262	-270	-270
PBT	8,735	9,398	10,158	10,881
HSBC PBT	10,971	11,921	12,681	13,569
Taxation	-1,604	-2,017	-1,829	-1,959
Net profit	7,131	7,381	8,330	8,923
HSBC net profit	8,941	9,776	10,399	11,127
Cash flow summary (USDm)				
Cash flow from operations	10,129	10,794	11,485	12,022
Capex	-179	-234	-236	-250
Cash flow from investment	-1,187	-1,962	-236	-250
Dividends	0	0	0	0
Change in net debt	1,873	-403	-3,294	-1,900
FCF equity	9,950	10,560	11,249	11,772
Balance sheet summary (USDm)				
Intangible fixed assets	13,352	14,993	14,993	14,993
Tangible fixed assets	5,981	5,628	5,241	5,011
Current assets	10,163	11,311	14,804	16,998
Cash & others	6,595	7,151	10,444	12,344
Total assets	29,496	31,932	35,038	37,002
Operating liabilities	11,663	13,370	14,184	15,097
Gross debt	6,210	6,363	6,363	6,363
Net debt	-385	-788	-4,081	-5,981
Shareholders' funds	11,623	12,199	14,491	15,542
Invested capital	11,238	11,411	10,410	9,561

Ratio, growth and per share analysis

Year to	11/2025a	11/2026e	11/2027e	11/2028e
Y-o-y % change				
Revenue	10.5	12.1	7.0	7.0
EBITDA	25.4	7.0	6.7	4.9
Operating profit	29.2	8.2	8.3	6.6
PBT	26.0	7.6	8.1	7.1
HSBC EPS	13.7	16.7	10.5	10.9
Ratios (%)				
Revenue/IC (x)	2.1	2.4	2.6	3.1
ROIC	61.6	65.3	76.7	89.3
ROE	69.5	82.1	77.9	74.1
ROA	24.6	24.7	25.5	25.4
EBITDA margin	40.1	38.2	38.1	37.4
Operating profit margin	36.6	35.3	35.8	35.6
EBITDA/net interest (x)	36.2	39.0	40.2	42.2
Net debt/equity	-3.3	-6.5	-28.2	-38.5
Net debt/EBITDA (x)	-0.0	-0.1	-0.4	-0.5
CF from operations/net debt				
Per share data (USD)				
EPS Rep (diluted)	16.70	18.45	21.63	24.01
HSBC EPS (diluted)	20.94	24.44	27.00	29.94
DPS	0.00	0.00	0.00	0.00
Book value	27.22	30.49	37.63	41.82

Key forecast drivers

Year to	11/2025a	11/2026e	11/2027e	11/2028e
Revenue growth, yoy, %	11	12	7	7
HSBC EPS growth, yoy, %	14	17	10	11
Gross margin, %	90	90	90	90
Operating margin, %	46	45	45	44

Valuation data

Year to	11/2025a	11/2026e	11/2027e	11/2028e
EV/sales	4.0	3.5	3.2	2.9
EV/EBITDA	9.9	9.2	8.3	7.7
EV/IC	8.4	8.2	8.7	9.2
PE*	11.6	9.9	9.0	8.1
PB	8.9	7.9	6.4	5.8
FCF yield (%)	10.6	11.2	11.9	12.5
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	11/2024a
GHG emission intensity*	3.3
Energy intensity*	10.6
CO_2 reduction policy	Yes
Social Indicators	**11/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	11/2025a
No. of board members	12
Average board tenure (years)	8.4
Female board members (%)	33.3
Board members independence (%)	91.7

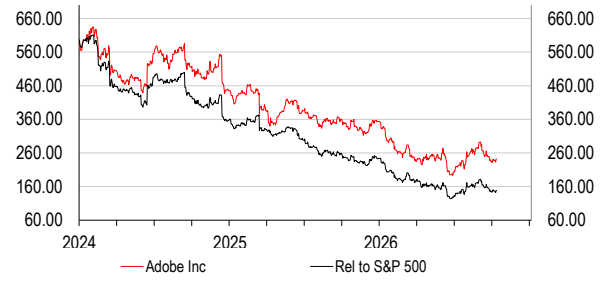
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	242.27	Free float	100%
Target price (USD)	267.00	Sector	Software
RIC (Equity)	ADBE.OQ	Country/Region	United States
Bloomberg (Equity)	ADBE US	Analyst	Stephen Bersey
Market cap (USDm)	94,291	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 09 Oct 2026

Free knockoff creates headline risks

We note that according to media reports (for example, *The Economic Times*, 12 October 2026), ArtCraft has released a vibe-coded, open source, free, near replica of Adobe's Creative Cloud suite, including versions of Photoshop, Illustrator, Premiere, Lightroom, Acrobat, After Effects, and InDesign. ArtCraft said it hopes to reach "100% feature parity" with Adobe's software within a month.

We are sceptical about vibe coding a perfect replica of Adobe using AI and do not expect serious businesses to abandon their Adobe subscriptions. Nevertheless, the news creates headline risks. We are cutting our revenue estimates for Adobe by about 1% and cutting our target PE to 10.5x (was 12.0x) to reflect the likely headline risks.

Changes in HSBC estimates

Adobe: Changes in HSBC estimates

USDm, FYE Nov	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue							
Old	21,505	23,769	26,713	28,850	30,870	32,722	34,685
New	21,505	23,769	26,651	28,517	30,513	32,344	34,285
% change	0.0%	0.0%	-0.2%	-1.2%	-1.2%	-1.2%	-1.2%
Non-GAAP operating profit							
Old	10,019	10,986	12,024	12,926	13,778	14,562	15,390
New	10,019	10,986	11,988	12,724	13,563	14,335	15,151
% change	0.0%	0.0%	-0.3%	-1.6%	-1.6%	-1.6%	-1.6%
Non-GAAP net profit							
Old	8,281	8,941	9,806	10,569	11,312	11,976	12,707
New	8,281	8,941	9,776	10,399	11,127	11,778	12,494
% change	0.0%	0.0%	-0.3%	-1.6%	-1.6%	-1.7%	-1.7%
Non-GAAP EPS							
Old	18.42	20.94	24.51	27.44	30.43	33.53	37.05
New	18.42	20.94	24.44	27.00	29.94	32.99	36.45
% change	0.0%	0.0%	-0.3%	-1.6%	-1.6%	-1.6%	-1.6%

Source: Company data, HSBC estimates

Adobe: Summary sheet

USDm, FYE Nov	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e	2026 guidance
Revenue	**15,785**	**17,606**	**19,409**	**21,505**	**23,769**	**26,651**	**28,517**	**30,513**	**32,344**	**34,285**	**26,601**
y-o-y		11.5%	10.2%	10.8%	10.5%	12.1%	7.0%	7.0%	6.0%	6.0%	11.9%
Non-GAAP cash costs	-8,526	-9,661	-10,491	-11,486	-12,783	-14,664	-15,793	-16,950	-18,009	-19,134	
y-o-y		13.3%	8.6%	9.5%	11.3%	14.7%	7.7%	7.3%	6.2%	6.2%	
Non-GAAP operating profit	**7,259**	**7,945**	**8,918**	**10,019**	**10,986**	**11,988**	**12,724**	**13,563**	**14,335**	**15,151**	**11,970**
Margin	46.0%	45.1%	45.9%	46.6%	46.2%	45.0%	44.6%	44.4%	44.3%	44.2%	45.0%
Share-based compensation	-1,285	-1,652	-1,984	-2,002	-2,122	-2,207	-2,363	-2,528	-2,680	-2,841	
As a % of revenue	8.1%	9.4%	10.2%	9.3%	8.9%	8.3%	8.3%	8.3%	8.3%	8.3%	
Other "one-off" costs	-172	-195	-284	-1,276	-157	-360	-160	-160	-160	-160	
GAAP operating profit	**5,802**	**6,098**	**6,650**	**6,741**	**8,707**	**9,420**	**10,201**	**10,875**	**11,495**	**12,150**	
Margin	36.8%	34.6%	34.3%	31.3%	36.6%	35.3%	35.8%	35.6%	35.5%	35.4%	
Non-GAAP net profit	**6,003**	**6,457**	**7,377**	**8,281**	**8,941**	**9,776**	**10,399**	**11,127**	**11,778**	**12,494**	
Non-GAAP EPS	**12.48**	**13.71**	**16.06**	**18.42**	**20.94**	**24.44**	**27.00**	**29.94**	**32.99**	**36.45**	**24.48**
y-o-y		9.9%	17.1%	14.7%	13.7%	16.7%	10.5%	10.9%	10.2%	10.5%	16.9%
Total debt	4,123	4,129	3,634	5,628	6,210	6,363	6,363	6,363	6,363	6,363	
Cash & equivalent	5,798	6,096	7,842	7,886	6,595	7,151	10,444	12,344	14,469	17,070	
Net debt	**-1,675**	**-1,967**	**-4,208**	**-2,258**	**-385**	**-788**	**-4,081**	**-5,981**	**-8,106**	**-10,707**	
Operating cash flow	7,223	7,838	7,302	8,056	10,032	11,312	11,930	12,550	12,790	13,282	
Capex	-330	-442	-360	-183	-179	-234	-236	-250	-265	-281	
FCF	**6,893**	**7,396**	**6,942**	**7,873**	**9,853**	**11,079**	**11,694**	**12,300**	**12,525**	**13,001**	
Acquisitions	-2,682	-126	0	0	0	-1,560	0	0	0	0	
Dividends	0	0	0	0	0	0	0	0	0	0	
Share buybacks	-4,459	-6,893	-4,799	-9,912	-11,550	-9,081	-8,520	-12,520	-10,520	-10,520	

Source: Company data, HSBC estimates

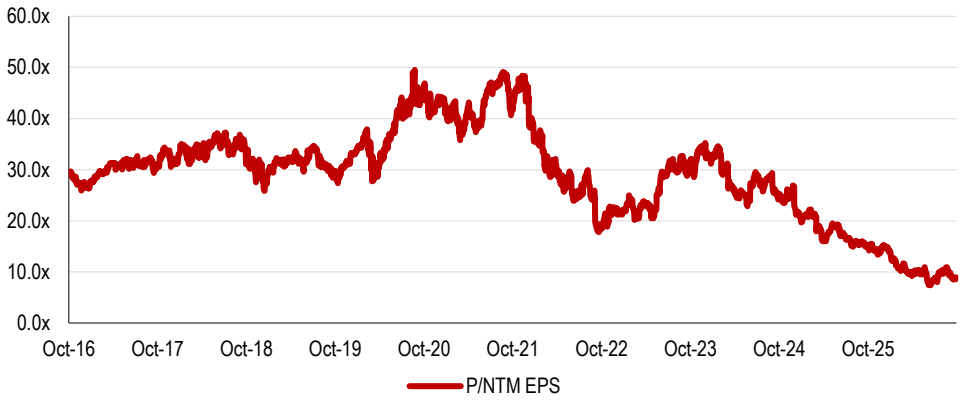
Valuation and risks

Comparative valuation

Company	Ticker	Rating	CMP (USD)	TP (USD)	PE (Non-GAAP) CY26e	PE (Non-GAAP) CY27e	PE (GAAP) CY26e	PE (GAAP) CY27e	EV/EBIT (Non-GAAP) CY26e	EV/EBIT (Non-GAAP) CY27e	EV/EBIT (GAAP) CY26e	EV/EBIT (GAAP) CY27e
Oracle	ORCL US	Buy	141.40	316.00	18.3	15.5	24.3	19.1	15.8	13.5	20.3	15.8
Apple	AAPL US	Buy	336.64	366.00	36.5	32.1	36.5	32.1	29.9	26.1	29.9	26.1
Adobe	ADBE US	Hold	242.27	267.00	9.9	9.0	13.1	11.2	8.0	7.0	10.2	8.7
Autodesk	ADSK US	Buy	235.35	333.00	18.6	16.5	26.8	24.6	15.0	12.6	20.9	16.9
Akamai	AKAM US	Hold	106.95	123.00	15.7	14.5	34.2	29.9	17.0	15.4	29.5	30.2
Amazon	AMZN US	Buy	262.43	310.00	18.0	21.0	20.6	25.4	22.9	18.1	27.3	21.1
Asana	ASAN US	Reduce	10.07	6.25	27.2	22.9	NM	NM	24.7	21.6	NM	NM
Salesforce	CRM US	Buy	229.13	325.00	13.7	14.6	22.1	26.6	13.5	11.6	23.3	20.1
CoreWeave	CRWV US	Reduce	82.08	39.00	NM	NM	NM	NM	83.9	26.6	NM	N.M.
Cisco	CSCO US	Hold	118.39	120.00	24.3	21.8	32.3	29.8	19.7	17.8	27.3	23.8
DocuSign	DOCU US	Hold	71.08	61.00	15.6	14.7	37.8	31.6	12.1	11.3	29.1	25.3
Fair Isaac	FICO US	Reduce	667.58	490.00	14.0	18.9	16.2	22.5	12.3	15.8	14.0	18.2
Fortinet	FTNT UW	Reduce	194.75	107.00	57.0	53.0	64.1	59.7	48.3	44.8	55.0	51.0
Corning	GLW US	Buy	156.68	226.00	46.4	34.5	60.7	43.0	33.8	25.9	43.2	31.0
Alphabet	GOOGL US	Buy	347.86	420.00	15.4	19.9	16.9	23.2	19.8	15.6	23.2	18.2
HP	HPQ US	Buy	30.20	33.80	8.9	8.5	11.7	10.4	8.0	7.6	10.4	9.2
IBM	IBM US	Reduce	227.13	174.00	18.7	18.5	23.7	23.3	16.9	15.5	20.8	18.9
Intuit	INTU US	Buy	302.75	657.00	13.2	13.3	17.2	14.6	10.3	10.0	13.5	10.9
Meta	META US	Buy	718.67	830.00	22.8	20.5	22.8	20.5	21.3	18.0	21.3	18.0
Microsoft	MSFT US	Buy	535.07	595.00	28.2	23.7	28.5	24.4	23.1	19.1	23.1	19.1
ServiceNow	NOW US	Buy	140.86	179.00	33.3	26.5	86.5	68.5	27.7	21.6	85.0	60.9
Nvidia	NVDA US	Buy	229.28	365.00	25.0	15.7	23.0	15.8	19.9	11.8	20.0	11.9
Palo Alto Networks	PANW US	Reduce	418.78	190.00	107.4	93.5	NM	NM	87.9	74.3	NM	195.8
Palantir	PLTR US	Hold	209.05	162.00	124.6	81.9	133.4	92.8	103.3	65.6	142.4	93.0
SAP (EUR)	SAP GR	Buy	191.46	196.00	27.4	23.0	27.0	23.8	18.8	15.6	19.5	16.1
Snowflake	SNOW US	Buy	368.89	470.00	199.4	119.8	NM	NM	162.2	89.8	NM	NM
SpaceX	SPCX US	Hold	162.57	150.00	NM	122.5	NM	NM	NM	158.2	NM	158.2
TE Connectivity	TEL US	Hold	218.29	216.00	18.7	16.8	19.5	17.6	15.2	13.4	16.4	14.0
Twilio	TWLO US	Reduce	289.47	211.00	48.1	42.5	35.3	105.3	37.7	31.7	110.8	77.7
Zoom	ZM US	Buy	97.74	133.00	15.7	14.6	11.2	21.2	10.3	9.2	16.3	14.4
Median					**22.8**	**20.7**	**27.0**	**24.6**	**21.6**	**17.2**	**23.2**	**19.6**

Source: Company data, LSEG Datastream, HSBC estimates *Priced at the close of 9 October 2026

Adobe: Price to NTM non-GAAP consensus EPS



Source: LSEG Datastream, HSBC

Adobe shares are trading at 9.0x CY27e non-GAAP PE vs the sector median of 20.7x. We think the discount is warranted as Adobe has one of the highest levels of threat from AI-led disruption, in our opinion.

We value Adobe using a PE-based methodology. We use a PE of 10.5x (at a discount to the 5-year average of 23x as we note heightened risks of AI disruption; was 12x) and our next 12-month non-GAAP EPS of USD25.47 (was USD25.80) to arrive at our target price of USD267.00 (was USD310.00). Our TP implies an upside of 10.2% and we downgrade to a Hold rating (from a Buy previously) as we are concerned about rising competition and the threat from AI to the business model.

Downside risks: Unfavorable stock market or macroeconomic conditions; worse than expected competitive intensity, especially from competing AI-driven products; potential negative impact from an external IT hack to Adobe's products; and disruptions due to management turnover.

Upside risks: Favorable stock market or macroeconomic conditions; lower than expected competitive intensity; better than expected success of new product launches.

Disclosure appendix

Analyst Certification

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Important disclosures

Equities: Stock ratings and basis for financial analysis

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HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Rating distribution for long-term investment opportunities

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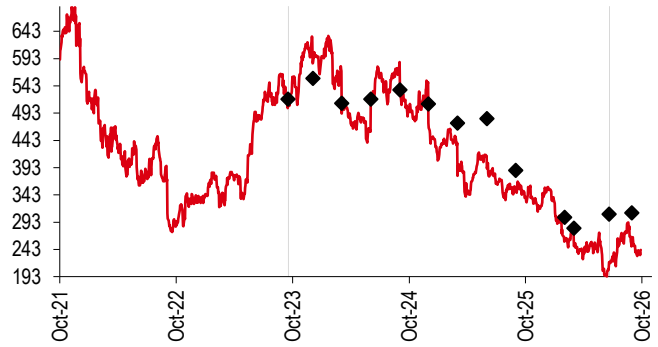
Buy	60%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	35%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	4%	(10% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Adobe Inc (ADBE.OQ) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Hold	28 Sep 2023	Stephen Bersey
Buy	Buy	02 Jul 2026	Stephen Bersey
Target price	**Value**	**Date**	**Analyst**
Price 1	519.00	28 Sep 2023	Stephen Bersey
Price 2	557.00	15 Dec 2023	Stephen Bersey
Price 3	511.00	15 Mar 2024	Stephen Bersey
Price 4	519.00	14 Jun 2024	Stephen Bersey
Price 5	536.00	13 Sep 2024	Stephen Bersey
Price 6	510.00	12 Dec 2024	Stephen Bersey
Price 7	475.00	13 Mar 2025	Stephen Bersey
Price 8	483.00	13 Jun 2025	Stephen Bersey
Price 9	388.00	12 Sep 2025	Stephen Bersey
Price 10	302.00	12 Feb 2026	Stephen Bersey
Price 11	282.00	13 Mar 2026	Stephen Bersey
Price 12	308.00	02 Jul 2026	Stephen Bersey
Price 13	310.00	11 Sep 2026	Stephen Bersey

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
ADOBE INC	ADBE.OQ	242.27	09 Oct 2026	7

Source: HSBC

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